

QNH Budget System User Guide

1. Introduction

Purpose of the System

The QNH Budget Management System is a hospital budgeting and financial governance platform. It supports the full budget lifecycle from financial year opening through department budget creation, approval, budget transfers, purchase order linking, consumption tracking, analytics, dashboards, notifications, audit logs, and roadmap planning.

The system is designed for business users, not only technical users. It helps Department Heads, Approvers, Finance, Procurement, Administrators, and the CFO work from one controlled budget process.

Business Problems Solved

Before a controlled budget system, hospital budgeting can depend on manual files, emails, informal approvals, and disconnected procurement records. This creates several problems:

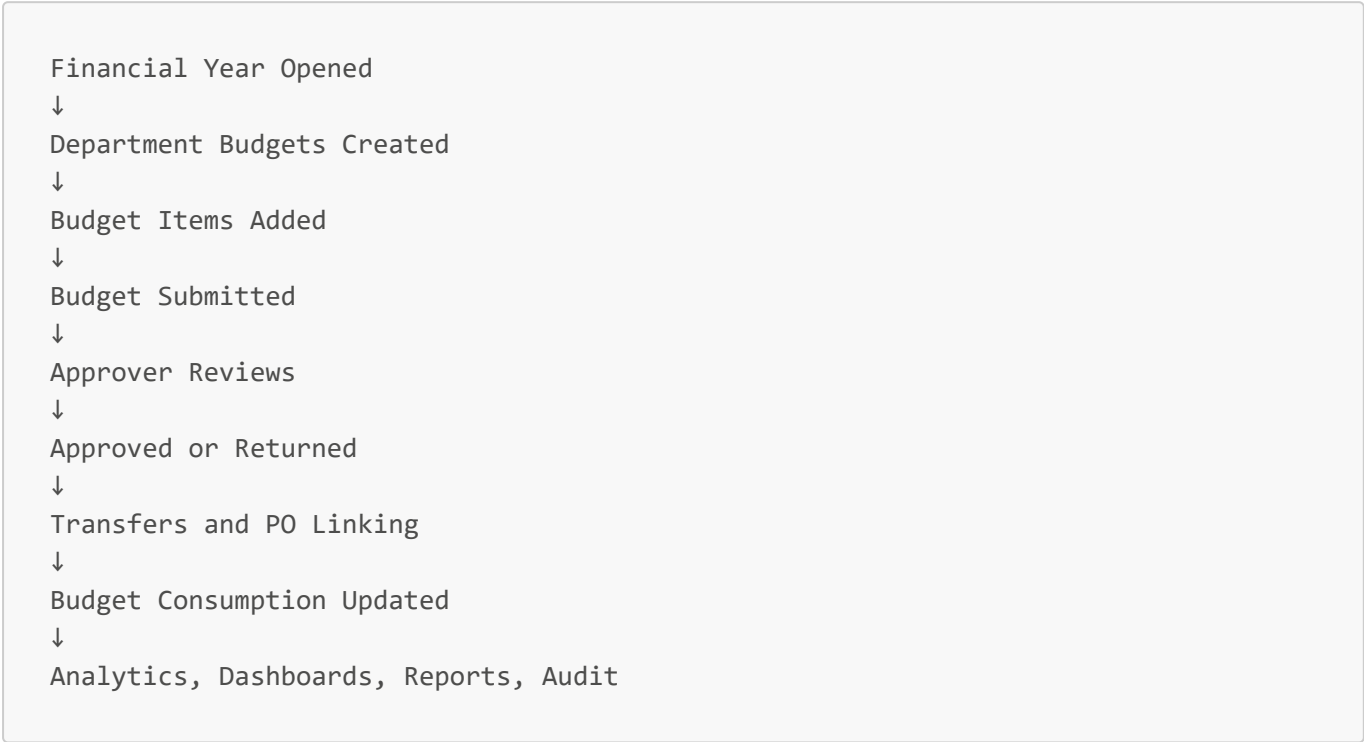
Problem	Business Impact
Budget requests are prepared manually	Inconsistent planning and more follow-up.
Approval status is unclear	Departments and Finance may not know who needs to act.
Returned budgets lack structured feedback	Corrections can be misunderstood or lost.
Budget transfers are hard to govern	Approved balances can move without clear evidence.
Purchase orders are disconnected from budgets	Finance cannot easily see budget consumption.
Price reasonableness is difficult to judge	Approvers rely on experience instead of historical evidence.
Audit evidence is scattered	It is harder to explain decisions later.

Key Benefits

Benefit	What It Means
Better budget control	Budgets follow financial year status, approval rules, and permissions.
Clearer approval process	Submitted budgets move through a visible approval queue.
Stronger feedback loop	Returned budgets include general and item-level notes.
Procurement visibility	PO links show how purchasing consumes approved budget.
Better decision support	Price Intelligence compares requested prices with historical procurement data.

Benefit	What It Means
Audit readiness	Important actions are traceable.
Executive visibility	Dashboards and analytics help leadership monitor status and risk.

High-Level System Flow



2. User Roles

The system uses role-based responsibilities. Users should only perform the actions required for their business role.

Department Head

Department Heads are usually responsible for preparing and submitting their department budgets.

Area	Responsibility
Budget creation	Create or update department budget items.
Draft management	Save budget changes while the budget is still editable.
Submission	Submit the budget for approval.
Feedback response	Review returned budget notes and correct the budget.
Visibility	Track the status of department budgets and related activity.

Typical activities:

- Open the current department budget.
- Add budget items.

- Enter quantity, unit price, and distribution method.
- Request a new budget item/type if it does not exist.
- Import budget items from Excel.
- Copy items from approved historical budgets.
- Submit the budget for approval.
- Respond to returned budget feedback.

Approver / CFO

Approvers review submitted budgets and make approval decisions. In many business contexts, this role may include the CFO or Finance Leadership.

Area	Responsibility
Budget review	Review submitted department budgets.
Approval	Approve budgets that are acceptable.
Return	Return budgets that need clarification or correction.
Price review	Use Price Intelligence to evaluate requested unit prices.
Analytics	Compare budgets, departments, and budget items.
Oversight	Monitor pending approvals and financial risk.

Typical activities:

- Open the Budget Approval page.
- Review item quantities, unit prices, total amounts, and benchmark indicators.
- Open Price Intelligence details when a price needs explanation.
- Approve a budget.
- Return a budget with notes.
- Review analytics and dashboards.

PO Approval Team

The PO Approval Team reviews purchase order link requests.

Area	Responsibility
PO link review	Review pending PO link requests.
Approval	Approve valid PO links.
Rejection	Reject invalid PO links with a reason.
Control	Ensure PO usage is correctly linked to approved budget items.

Typical activities:

- Review pending PO link requests.
- Check requested quantity and budget item relationship.
- Approve or reject PO link requests.

- Help maintain procurement-to-budget transparency.

Finance Department

Finance uses the system for monitoring, governance, analysis, and control.

Area	Responsibility
Budget monitoring	Track budget status and approvals.
Consumption visibility	Monitor consumed and remaining budget.
Transfers	Review transfer activity where assigned.
Reporting	Use analytics and reports for management review.
Governance	Ensure financial year and approval controls are followed.

Typical activities:

- Monitor approval progress.
- Review transfer and PO link activity.
- Use analytics to investigate trends and exceptions.
- Review Price Intelligence indicators.
- Support financial year closure readiness.

Budget Administrator

Budget Administrators maintain the budget configuration that users rely on.

Area	Responsibility
Categories and item types	Manage budget setup.
Item requests	Review requested new budget item types.
PO item mappings	Manage mappings between budget item types and procurement item codes.
Financial years	Manage annual budget cycles when assigned.

Typical activities:

- Add or disable budget categories and item types.
- Approve or reject requested new items.
- Maintain PO item mappings for suggestions and benchmarks.
- Support setup needed for accurate budgeting.

System Administrator

System Administrators manage users, access, and governance settings.

Area	Responsibility
User access	Assign users to roles and departments.

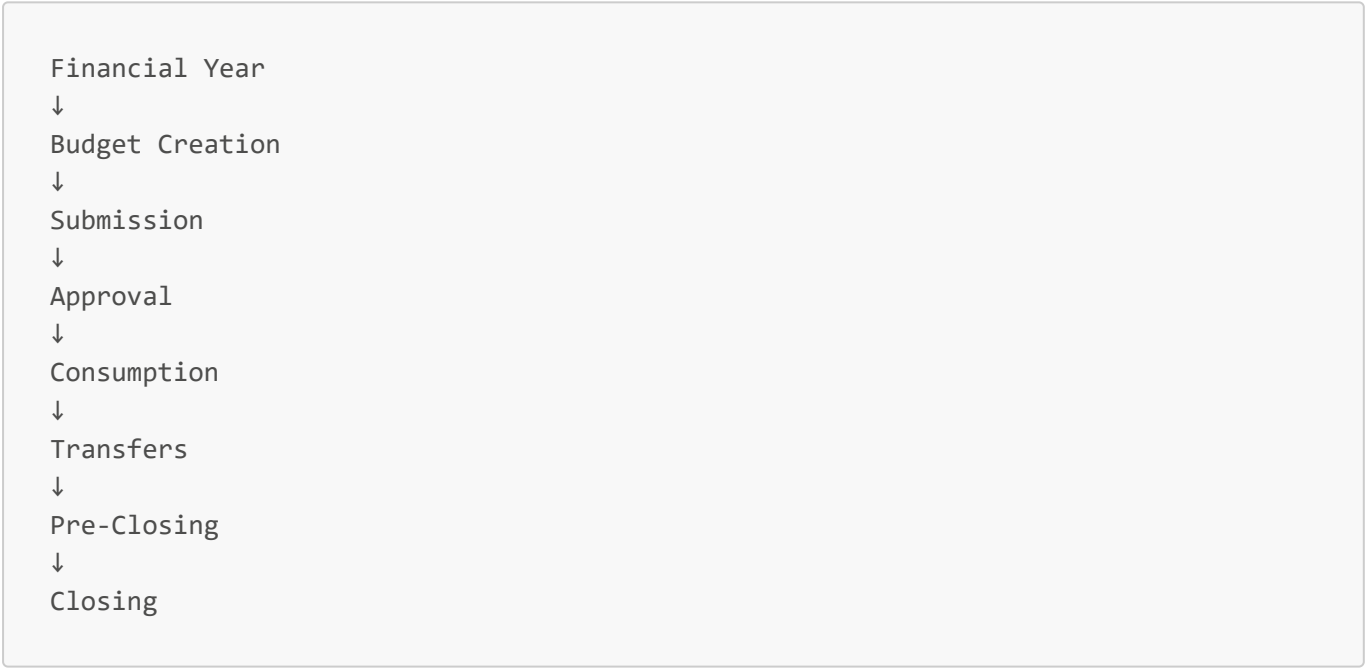
Area	Responsibility
Permissions	Control who can view, edit, approve, or administer.
Audit	Review audit logs where assigned.
Administration	Maintain the system's governance setup.

Typical activities:

- Assign budget access.
- Manage role permissions.
- Review user access.
- Review audit logs.

3. End-to-End Budget Lifecycle

The budget lifecycle begins with a financial year and ends with financial year closure and reporting.



Lifecycle Stages

Stage	What Happens	Main Users
Financial Year	A new budget year is opened. Department budgets become available.	Admin, Finance
Budget Creation	Department Heads add budget items and save drafts.	Department Heads
Submission	Department submits budget for approval.	Department Heads
Approval	Approver reviews, approves, or returns the budget.	Approver, CFO

Stage	What Happens	Main Users
Consumption	Approved budget is consumed through linked PO activity.	Finance, Procurement, PO Users
Transfers	Budget value can move between items through approved transfer requests.	Department Heads, Finance, Approvers
Pre-Closing	Finance prepares the financial year for closure.	Finance, Admin
Closing	Financial year is locked after required activities are resolved.	Finance, Admin

Example

Radiology creates a budget for the open financial year. It adds ultrasound machines, submits the budget, and the approver reviews the request. If approved, future purchase orders can be linked to those approved items. The linked POs consume part of the approved budget, and Finance can see the remaining available amount.

4. Financial Year Management

Financial years control when users can create budgets, submit budgets, perform closing preparation, and preserve historical results.

```

OPEN
↓
PRE-CLOSING
↓
CLOSED

```

OPEN

Topic	Explanation
Purpose	Active budget planning and approval period.
Users can do	Create budgets, edit draft or returned budgets, submit budgets, approve budgets.
Users cannot do	Treat the year as finalized.
Business value	Allows active budget preparation under a controlled year.

Example:

The 2026 financial year is OPEN. Departments prepare and submit their budgets.

PRE-CLOSING

Topic	Explanation
Purpose	Prepare the year for final closure.
Users can do	Resolve remaining pending items required before closure.
Users cannot do	Continue open-ended planning as if the year were still fully active.
Business value	Forces unresolved activities to be addressed before the year is closed.

Example:

Finance moves the year into PRE-CLOSING after budgets are approved. Pending transfer requests and unfinished PO links must be resolved before closing.

CLOSED

Topic	Explanation
Purpose	Preserve final financial year history.
Users can do	View historical information and reporting.
Users cannot do	Create new active budget workflow activity for the closed year.
Business value	Protects historical records and supports audit.

Example:

After closure, 2026 becomes historical. Users can review it, but active budget changes are restricted.

5. Budget Creation

Budget creation is the process used by departments to prepare their annual budget requests.

Creating a Budget

In normal use, a department works with its current budget for the open financial year. The budget may be:

Status	Meaning
DRAFT	Editable and not yet submitted.
RETURNED	Sent back by approver and editable for correction.
PENDING_APPROVAL	Submitted and locked until approver decision.
APPROVED	Approved and no longer editable by the department.

Adding Budget Items

Each budget item usually includes:

Field	Meaning
Category	Budget grouping, such as equipment or services.
Item / Type	Specific budget item type, such as Laptop or Office Chair.
Quantity	Number of units requested.
Unit Price	Expected cost per unit.
Total Amount	Quantity x Unit Price.
Distribution Method	How quantity is distributed over the year.
Project Item	Marks the item for project-level visibility.

Distribution Methods

Distribution controls how the item quantity is planned over time.

Method	Meaning	Example
Annual	One annual total only.	12 monitors planned as one annual request.
Monthly	Quantity is distributed across months.	120 units distributed across 12 months.
Quarterly	Quantity is distributed across quarters.	40 units across 4 quarters.
Custom	User defines distribution by month or quarter.	More quantity in Q1 and Q2 than Q3 and Q4.

Important control:

The distributed quantity must equal the item quantity.

Example:

If the item quantity is 100, the total monthly or quarterly distribution must also equal 100.

Draft Budgets

A draft budget can be saved before submission. This allows departments to prepare budgets over time.

Draft behavior:

- Users can add, edit, and remove items.
- Users can save the budget without submitting it.
- The budget remains editable until it is submitted.

Submission

When the department is ready, the budget is submitted for approval.

Draft or Returned Budget
↓
Submit for Approval

```
↓  
Budget becomes Pending Approval  
↓  
Department editing is locked  
↓  
Approver reviews
```

A budget cannot be submitted without active budget items.

Copy Budget From History

The Budget Entry page supports copying from approved historical budgets.

Business purpose:

- Speeds up annual planning.
- Helps departments reuse previous approved budgets.
- Reduces re-entry of common budget items.

Example:

Radiology can copy last year's approved budget items and adjust quantities or prices for the new year.

Excel Import

The Budget Entry page includes Excel budget tools.

Business purpose:

- Allows departments to prepare multiple budget items outside the system and import them.
- Reduces manual entry for large budgets.
- Provides import results and error feedback.

Typical flow:

```
Download Template  
↓  
Fill Budget Items in Excel  
↓  
Import File  
↓  
System Adds Valid Rows  
↓  
User Reviews Import Results
```

If some rows fail, the user reviews import errors and corrects the file or manual entries.

Budget Item Requests

If a needed item type does not exist, a user can request a new item/type.

Request options:

Option	Meaning
Existing category	Request a new item under an existing category.
New category	Request both a new category and a new item type.
Expense type	Mark the requested item type as OPEX or CAPEX where applicable.

Workflow:



Project Item Flag

A budget item can be marked as a Project Item.

Business meaning:

Project = budget item with elevated visibility and tracking.

It is not full project management software.

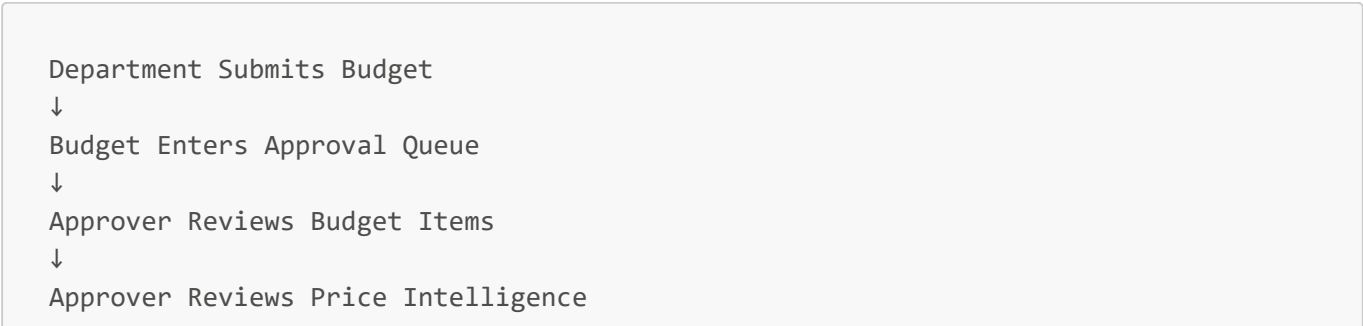
Example:

A budget item type called "MRI Expansion Project" can be marked as Project Item so it appears in project-focused views and future reporting.

6. Budget Approval

Budget Approval is the formal review process for submitted department budgets.

Approval Workflow



↓

Decision:

- Approve
- Return with Feedback

Review Process

Approvers review:

Area	What to Check
Item list	Are the requested items appropriate?
Quantity	Is the quantity reasonable?
Unit price	Is the price reasonable?
Total amount	What is the financial impact?
Project flag	Is the item an important project item?
Price Intelligence	Is the price above historical benchmark?
Notes	Are there any previous return comments?

Approval Decision

Approving a budget means Finance accepts the submitted budget as an approved plan.

Business effect:

- The budget status becomes approved.
- Department editing is no longer available.
- Approved items can be used for controlled execution and procurement linkage.

Return Decision

Returning a budget means the approver needs clarification, correction, or justification.

Business effect:

- The budget returns to the department.
- The department can edit the budget.
- General and item-level feedback guide the correction.
- The department resubmits after changes.

Example:

An approver may return a budget because:

- A unit price is significantly above historical benchmark.
- Quantity appears too high.
- A project item needs more explanation.

- A requested item should be moved to a different category.

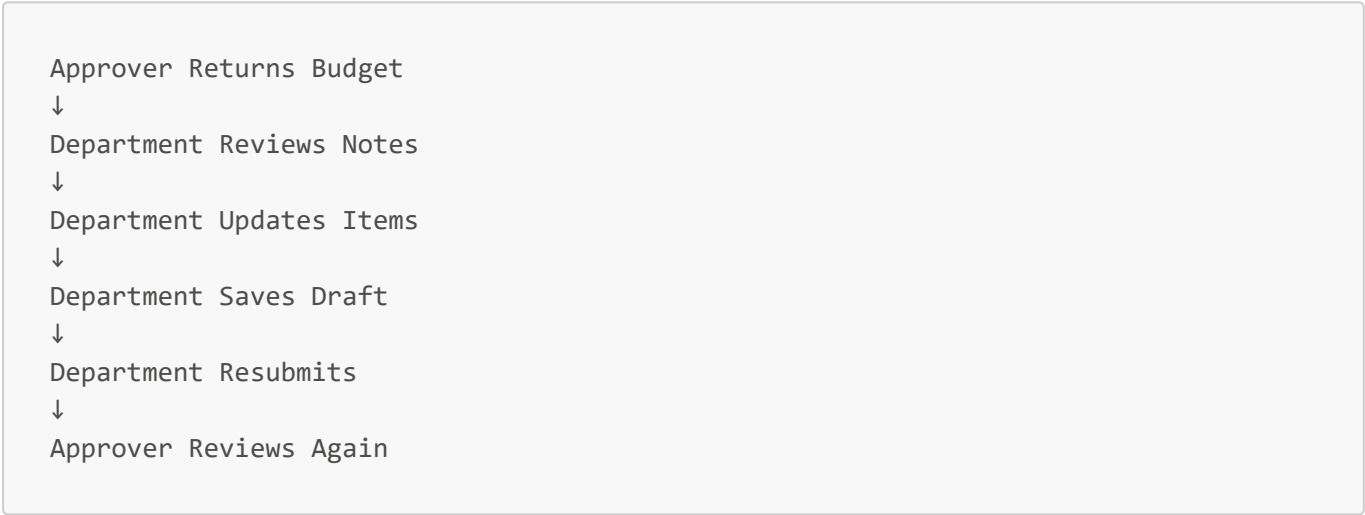
7. Return & Feedback

Return and feedback help departments understand what must be corrected before approval.

Types of Feedback

Feedback Type	Purpose
General notes	Comments about the overall budget.
Item notes	Comments attached to specific budget items.

Correction Process



Example: General Note

Please reduce the overall request to align with the department target and resubmit.

Example: Item Note

Office Chair unit price is above historical benchmark. Please confirm specifications or revise price.

Business Value

- Feedback is structured.
- Departments know exactly what to correct.
- Approvers can document the reason for return.
- The review history is easier to audit.

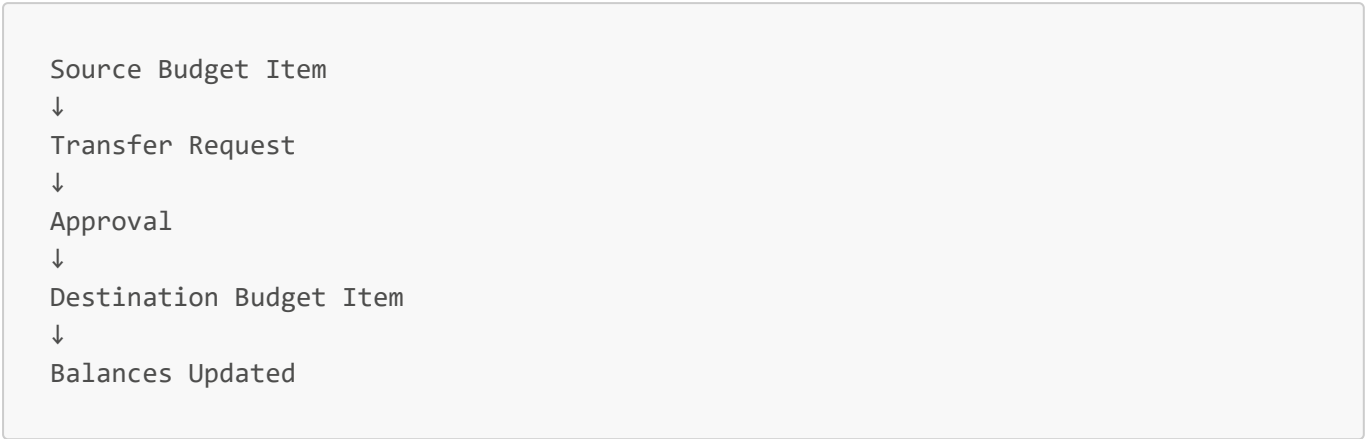
8. Budget Transfers

Budget transfers allow approved budget value to move from one item to another under control.

Purpose

Transfers support operational flexibility when priorities change after budget approval.

Process



Controls

Control	Meaning
Source item required	The system must know where value is coming from.
Destination item required	The system must know where value is going.
Approval required	Transfer does not become final without approval.
Audit trail	Transfer decision is traceable.

Financial Example

Budget Item	Before Transfer	Transfer	After Transfer
Office Furniture	SAR 100,000	-SAR 20,000	SAR 80,000
Medical Equipment	SAR 300,000	+SAR 20,000	SAR 320,000

Business value:

- Finance controls balance movement.
- Departments can adapt to changing needs.
- The reason and approval of the movement are preserved.

9. Purchase Order Linking

Purchase Order Linking connects procurement activity to approved budget items.

Purpose

The purpose is to show how actual purchase orders consume approved budget.

Process

```
PO Record
↓
Link Request
↓
Approval
↓
Budget Consumption Update
↓
Remaining Budget Update
```

Controls

Control	Meaning
Link request	A user requests to connect a PO to a budget item.
Quantity validation	Requested quantity must be valid.
Approval required	PO link must be approved before it becomes final.
Rejection reason	Rejected links can include explanation.
Closure control	Unfinished PO links can affect financial year closure readiness.

Financial Example

Measure	Amount
Approved Budget Item	SAR 100,000
Approved Linked PO	SAR 30,000
Consumed Budget	SAR 30,000
Remaining Budget	SAR 70,000

Business Value

- Procurement activity becomes visible against approved budgets.
- Finance can see remaining budget after PO consumption.
- PO usage is controlled and auditable.
- Budget closure is more reliable.

10. PO Item Mapping

PO Item Mapping connects budget item types with procurement item codes.

Purpose

Mappings tell the system which historical PO records are comparable to a budget item type.

How Mapping Works

```
Budget Item Type
↓
Mapped PO Item Code
↓
Historical PO Records
↓
PO Suggestions and Price Intelligence
```

Mapping Sources

Source	Meaning
Manual	Administrator creates the mapping directly.
Approved Link	The system learns from an approved PO link.

Example

Budget Item Type	PO Item Code	Result
Laptop	17819	Historical PO records for item code 17819 support Laptop benchmark calculations.
Office Chair	2102030060	Chair purchase history supports future suggestions and price review.

Why It Matters

PO Item Mapping is important because Price Intelligence depends on comparable historical purchase records. Without mappings, the system may not know which historical procurement records should be used for a budget item.

Example:

If Laptop is mapped to item codes 17819, 17820, and 17821, then all active mapped item codes can contribute historical purchase records for Laptop benchmarking.

11. Budget Consumption Tracking

Budget Consumption Tracking explains how much approved budget has been used and how much remains.

Core Concepts

Concept	Meaning
Allocated / Approved	Budget value approved for an item.

Concept	Meaning
Consumed	Budget value used through approved PO links.
Remaining	Budget value still available after consumption and approved balance movements.

Basic Formula

```

Remaining Budget
= Approved Budget
- Consumed Through PO Links
+ Approved Transfer In
- Approved Transfer Out

```

Example

Measure	Amount
Approved Budget	SAR 250,000
Approved PO Links	SAR 90,000
Transfer In	SAR 20,000
Remaining Budget	SAR 180,000

Business Value

- Finance can monitor available budget.
- Departments can understand remaining balance.
- Procurement consumption becomes transparent.
- Budget execution is easier to control.

12. Price Intelligence

Price Intelligence is a decision-support feature used during Budget Approval. It helps approvers compare proposed budget prices against QNH historical procurement behavior.

It is not an automatic approval or rejection engine. It provides evidence to support human decision-making.

Price Intelligence Data Flow

```

Budget Item
↓
Budget Item Type
↓
Active PO Item Mappings
↓
Mapped PO Item Codes

```

↓
Historical PO Records
↓
Benchmark and Variance Calculations
↓
Approval Indicators

What Approvers See

Approvers may see:

- Historical Benchmark.
- Unit Price Variance.
- Potential Impact / Potential Overspend.
- Status such as Within Benchmark or High Overspend Risk.
- Evidence details in a drawer.
- Recent historical purchases used in the calculation.

Historical Benchmark

Topic	Explanation
Definition	The historical reference unit price for comparable purchases.
Calculation	Median historical unit cost from mapped historical PO records.
Business meaning	Shows the typical historical unit price for similar items.
Example	Historical prices are 90, 95, 100, 105, 500. Benchmark = 100.

Why it matters:

The benchmark gives approvers a reliable reference point before approving a requested price.

Benchmark Price

Benchmark Price is the same primary value as Historical Benchmark.

Topic	Explanation
Definition	Main price used to compare the budgeted unit price.
Calculation	Median historical unit cost.
Business meaning	Indicates what QNH has typically paid for comparable items.
Example	If comparable historical prices are 380, 390, 405, the benchmark is 390.

Median Historical Price

Median is the middle value after prices are sorted.

Example:

Historical prices:
90, 95, 100, 105, 500

Median:
100

Why median is used:

Average	Median
178	100

The average is distorted by the unusual 500 price. The median better represents typical purchasing behavior.

Variance Amount

Topic	Explanation
Definition	Difference between budget unit price and benchmark.
Formula	Budget Unit Price - Benchmark Price.
Business meaning	Shows how much higher or lower the requested unit price is.
Example	420 - 390 = 30 above benchmark.

Variance %

Topic	Explanation
Definition	Percentage difference between requested unit price and benchmark.
Formula	$((\text{Budget Unit Price} - \text{Benchmark Price}) / \text{Benchmark Price}) \times 100$.
Business meaning	Helps compare price differences across low-value and high-value items.
Example	$((420 - 390) / 390) \times 100 = 7.7\%$.

Potential Impact

Topic	Explanation
Definition	Total financial difference across the requested quantity.
Formula	$(\text{Budget Unit Price} - \text{Benchmark Price}) \times \text{Quantity}$.
Business meaning	Converts unit price difference into total budget exposure.
Example	$(420 - 390) \times 50 = 1,500$.

Potential Impact can be positive or negative:

- Positive means the item is above benchmark.

- Negative means the item is below benchmark.

Potential Overspend

Topic	Explanation
Definition	Positive potential impact when budget price is above benchmark.
Formula	$\max(0, \text{Budget Unit Price} - \text{Benchmark Price}) \times \text{Quantity}$.
Business meaning	Shows possible avoidable budget exposure.
Example	If unit variance is 30 and quantity is 50, potential overspend is SAR 1,500.

Evidence Strength

Topic	Explanation
Definition	Indicator of how reliable the benchmark evidence is.
Calculation logic	Based on historical purchase count, supplier count, and recency.
Business meaning	Helps approvers know whether the benchmark is strong or should be used cautiously.
Example	37 purchases from 4 suppliers is stronger evidence than 1 purchase from 1 supplier.

Statuses

Status	Meaning	Typical Action
Within Benchmark	Price is close to historical benchmark.	Review normally.
Review Price	Price is moderately above benchmark.	Check justification or specification.
Significant Variance	Price is materially above benchmark.	Challenge assumptions or request correction.
High Overspend Risk	Price is far above benchmark.	Require strong justification before approval.
No Benchmark Available	No usable mapped historical data exists.	Review manually and consider improving mappings.

Complete Example

Field	Value
Budget Item	Office Chair
Quantity	50
Budget Unit Price	SAR 420
Historical Benchmark	SAR 390

Field	Value
Variance Amount	SAR 30
Variance %	7.7%
Potential Overspend	SAR 1,500
Status	Review Price

Approver interpretation:

The item is not automatically rejected. The system shows that approving the item at SAR 420 may create SAR 1,500 of additional budget exposure compared with historical procurement behavior.

How Approvers Use Price Intelligence

Approvers should use Price Intelligence to ask better questions:

Signal	Approver Question
Within Benchmark	Is the item otherwise appropriate?
Review Price	Is there a specification difference or supplier reason?
Significant Variance	Should the price be revised or justified?
High Overspend Risk	Is there a strong business reason to approve this price?
No Benchmark Available	Is manual review sufficient, or should mappings be improved?

13. Budget Analytics

Budget Analytics helps Finance and Approvers explore budget information beyond a single budget.

Purpose

Analytics answers business questions such as:

- Which departments have the highest budget requests?
- Which budgets are approved, returned, or pending?
- Which categories or items drive the largest totals?
- Which items have high benchmark variance?
- Which budgets have missing benchmarks?
- Which departments need attention?

Users

User	Use
CFO	Review overall financial exposure and risk.
Finance Leadership	Compare budgets and departments.

User	Use
Approvers	Investigate submitted budgets and outliers.
Department Directors	Understand department budget patterns.

Filters and Comparisons

Analytics can support filtering and comparison by business dimensions such as:

- Status.
- Department.
- Financial year.
- Budget.
- Category.
- Item type.
- Amount.
- Price Intelligence indicators where available.

Business Value

- Helps users investigate instead of only viewing dashboards.
- Supports review of trends and exceptions.
- Helps Finance find budgets requiring attention.
- Provides a foundation for future Smart Analytics Filters.

14. Dashboards

Dashboards provide immediate visibility into status, workload, and action items.

Executive Dashboards

Topic	Explanation
What it shows	High-level budget status, approval workload, financial year context, risk indicators, and key actions.
Users	CFO, Finance Leadership, Approvers.
Business value	Helps leaders quickly understand where attention is needed.

Example questions:

- How many budgets are pending approval?
- Are there returned budgets?
- Are there high-risk items?
- Are there pending transfer or PO link approvals?

Department Dashboards

Topic	Explanation
What it shows	Department budget status, returned items, pending actions, and relevant budget activity.
Users	Department Heads.
Business value	Helps departments know what to submit, revise, or monitor.

Example questions:

- Is my budget still draft?
- Was my budget returned?
- What feedback requires action?

Operational Dashboards

Topic	Explanation
What it shows	Work panels for item requests, transfers, PO links, and other workflow actions.
Users	Finance, Procurement, Administrators, Approvers.
Business value	Helps operational teams act on pending work.

Example questions:

- Which PO link requests are pending?
- Which transfers need approval?
- Which item requests need administrator review?

15. Reporting

Reporting is separate from analytics. Analytics supports exploration. Reporting supports formal review, management packs, and audit evidence.

Current status:

The system has a Reports page foundation. Advanced reporting is a planned enhancement.

Report Categories

Report	Purpose	Audience	Decisions Supported
Budget Reports	Show budget status, totals, and department submissions.	CFO, Finance, Departments.	Which budgets are pending, approved, returned, or draft.
Approval Reports	Show approval workload and decisions.	CFO, Approvers, Auditors.	Where approval bottlenecks exist.
Transfer Reports	Show approved and rejected budget transfers.	Finance, Approvers, Auditors.	Why balances moved between items.

Report	Purpose	Audience	Decisions Supported
PO Linking Reports	Show PO links and approval status.	Finance, Procurement, Auditors.	Which POs consumed which budget items.
Consumption Reports	Show approved, consumed, and remaining budget.	CFO, Finance, Departments.	Whether budget remains available.
Price Intelligence Reports	Show benchmark variance and missing benchmarks.	CFO, Finance, Approvers, Procurement.	Which items may require price review.
Audit Reports	Show important user actions and state changes.	Auditors, Admins, Finance.	Who did what, when, and why.

16. Email Notifications

Email notifications help users respond to workflow events without manual follow-up.

Implemented Notification Types

Notification	Trigger	Recipient	Purpose
Budget Submitted	Department submits budget.	Budget Approvers.	Notify approvers that review is required.
Budget Approved	Approver approves budget.	Budget owner / department.	Confirm approval.
Budget Returned	Approver returns budget.	Budget owner / department.	Notify department to revise and resubmit.
Transfer Submitted	User creates transfer request.	Transfer Approvers.	Request transfer review.
Transfer Approved	Approver approves transfer.	Transfer requester.	Confirm approved transfer.
Transfer Rejected	Approver rejects transfer.	Transfer requester.	Communicate rejection.
PO Link Submitted	User submits PO link request.	PO Link Approvers.	Request PO link review.
PO Link Approved	Approver approves PO link.	PO link requester.	Confirm approved PO link.
PO Link Rejected	Approver rejects PO link.	PO link requester.	Communicate rejection.
Financial Year Opened	New financial year is opened.	Relevant users.	Announce start of budget cycle.

Notification	Trigger	Recipient	Purpose
Financial Year Pre-Closing	Year moves to pre-closing.	Relevant users.	Communicate closure preparation.
Financial Year Closed	Year is closed.	Relevant users.	Communicate final closure.
Item Request Created	User requests a new item/type.	Category or budget setup administrators.	Notify admin that review is needed.
Item Request Approved	Admin approves item request.	Requester.	Confirm item/type approval.
Item Request Rejected	Admin rejects item request.	Requester.	Communicate rejection.

Business Value

- Reduces manual follow-up.
- Keeps approvers and requesters informed.
- Speeds up workflow action.
- Improves accountability.

17. Security & Permissions

Security is based on what users are allowed to do in the budget process.

Permission Areas

Permission Area	Business Meaning
View Budget	User can view budget information.
Edit Budget	User can create or edit editable budgets.
Approve Budget	User can review, approve, or return budgets.
Request Transfer	User can create transfer requests.
Approve Transfer	User can approve or reject transfer requests.
View PO Links	User can view PO link information.
Request PO Links	User can submit PO link requests.
Approve PO Links	User can approve or reject PO link requests.
Manage Users	User can manage budget access assignments.
Manage Categories	User can manage budget setup and item requests.
Manage PO Item Mappings	User can maintain PO item mappings.
Manage Financial Years	User can manage financial year lifecycle.

Permission Area	Business Meaning
View Reports	User can access reporting.

Governance Purpose

Permissions ensure that:

- Users only see what they are allowed to see.
- Users only act where they have authority.
- Approval duties are separated from entry duties where required.
- Administration is restricted to authorized users.

Example

A Department Head may create and submit a budget, but only an Approver can approve or return it.

18. Audit Logs

Audit logs preserve evidence of important system actions.

Actions Tracked

Audit logging covers important state-changing actions such as:

- Financial year creation, pre-closing, and closing.
- Budget creation, submission, approval, and return.
- Transfer creation, approval, and rejection.
- PO link creation, approval, and rejection.
- Item request activity.
- Administrative actions where applicable.

Why Audit Logs Matter

Audit logs help answer:

- Who performed the action?
- When did it happen?
- What changed?
- Why was a budget returned or transfer rejected?
- Was the correct approval process followed?

Business Value

- Supports internal control.
 - Supports audit review.
 - Reduces reliance on email evidence.
 - Improves accountability.
-

19. Financial Controls

The system includes several financial governance controls.

Approval Controls

Control	Purpose
Budget submission lock	Submitted budgets cannot be edited unless returned.
Approver decision	Budgets require approval before they become approved plans.
Return feedback	Corrections are documented.
Price Intelligence	Approvers can challenge prices using historical evidence.

Transfer Controls

Control	Purpose
Source and destination	Transfer must identify where budget moves from and to.
Approval required	Transfer does not become final without approval.
Balance impact	Approved transfer updates relevant budget availability.

PO Controls

Control	Purpose
PO link request	PO consumption is requested before approval.
PO approval	Link must be reviewed.
Quantity validation	Requested PO quantity must be valid.
Consumption update	Approved link affects budget consumption visibility.

Financial Year Controls

Control	Purpose
OPEN status	Allows active budget planning.
PRE-CLOSING status	Prepares for year-end closure.
CLOSED status	Locks historical year.
Closure checks	Pending transfers and PO links must be resolved.

Permission Controls

Control	Purpose
Role-based access	Users act according to assigned responsibility.

Control	Purpose
Admin permissions	Sensitive setup is restricted.
Approval permissions	Approval authority is controlled.

20. Frequently Asked Questions

Why can I not edit my budget?

Your budget may be submitted, approved, cancelled, or locked by financial year status. Budgets are normally editable when they are DRAFT or RETURNED.

Why was my budget returned?

The approver returned it because clarification, correction, or justification is required. Review the general notes and item notes.

Can I submit a budget with no items?

No. A budget must have at least one active item before submission.

What is a Project Item?

A Project Item is a budget item marked for elevated visibility and future tracking. It remains part of the budget and approval process.

What if the item I need does not exist?

Use the item request process to request a new budget item/type. An administrator reviews and approves or rejects the request.

What does No Benchmark Available mean?

It means the system does not have enough mapped historical procurement data to calculate a benchmark.

Does Price Intelligence approve or reject items automatically?

No. It supports human review by showing historical evidence, variance, and potential impact.

Why is benchmark different from average?

The benchmark uses median historical price because median is less affected by extreme outliers.

How does PO Linking affect budget?

When a PO link is approved, it contributes to consumed budget visibility for the linked budget item.

Can rejected PO links increase consumption?

No. Only approved PO links should count as approved consumption.

Why are permissions important?

Permissions protect financial governance by ensuring users only perform actions they are authorized to perform.

21. Current Capabilities Summary

Capability	Status	Business Value
Financial Year Management	Implemented	Controls annual budget cycle.
Budget Creation	Implemented	Enables department planning.
Budget Submission	Implemented	Moves budgets into approval workflow.
Budget Approval	Implemented	Controls approval and return decisions.
Return & Feedback	Implemented	Documents correction requests.
Budget Transfers	Implemented	Controls movement of budget value.
PO Linking	Implemented	Connects purchase orders to budget consumption.
PO Item Mapping	Implemented	Supports PO suggestions and Price Intelligence.
Budget Consumption Tracking	Implemented	Shows approved, consumed, and remaining budget.
Price Intelligence	Implemented	Provides historical procurement benchmarks.
Dashboards	Implemented	Shows role-based status and action visibility.
Budget Analytics	Implemented	Supports budget comparison and investigation.
Email Notifications	Implemented	Alerts users to workflow events.
Security & Permissions	Implemented	Controls access and actions.
Audit Logs	Implemented	Preserves action history.
Project Budget Item Visibility	Implemented / Partial	Provides project item visibility and foundation for future tracking.
Reporting Framework	Partial	Reports entry point exists; advanced reporting is planned.

22. Roadmap

Roadmap items are future or partially implemented capabilities. They should not be treated as fully operational unless specifically marked implemented.

Implemented Foundation

Area	Current Status
Project Budget Items	Foundation exists for marking and viewing project budget items.
Budget Analytics	Current analytics workspace exists.
Reports	Basic reports entry point exists.

Planned: Projects Feature

Business objective:

Provide better visibility into important budget initiatives.

Business definition:

Project = Budget Item with elevated visibility and tracking

Not intended as:

Full project management software

Future benefits:

- Project dashboards.
- Project reports.
- Executive oversight of strategic initiatives.
- Future milestones, risks, documents, and procurement tracking.

Planned: Companies / Vendors Feature

Business objective:

Provide better supplier, vendor, and company-level visibility.

Future benefits:

- Supplier spending analysis.
- Vendor concentration reporting.
- Procurement transparency.
- Supplier-based budget reporting.
- Multi-company governance where required.

Planned: Advanced Reporting

Business objective:

Provide formal operational, financial, executive, and audit reports.

Potential report examples:

- Budget Status Reports.
- Department Reports.
- Approval Reports.
- Transfer Reports.
- PO Linking Reports.
- Consumption Reports.
- Price Intelligence Reports.
- Audit Reports.

Planned: Smart Analytics Filters

Business objective:

Make Budget Analytics easier to explore.

Example future query:

```
show approved radiology budgets above 500k with variance > 20%
```

The intended direction is structured filtering, not uncontrolled text-to-SQL.

Future: AI-Assisted Analysis

Business objective:

Support future insight discovery and executive analysis.

Important principle:

Future AI-assisted capabilities should support decision-making, remain explainable, and preserve governance controls. They should not replace accountable human approval.

Final Notes For New Users

The QNH Budget System is not only a data-entry application. It is a financial governance platform.

The most important ideas to understand are:

- Financial years control when budget activity is allowed.
- Departments create and submit budgets.
- Approvers approve or return budgets.
- Returned budgets include feedback and can be corrected.
- Transfers move approved budget value only through approval.
- PO links connect procurement activity to budget consumption.
- PO item mappings enable reliable historical benchmarking.
- Price Intelligence supports better approval decisions.
- Dashboards, analytics, reports, notifications, permissions, and audit logs support governance.

Used properly, the system gives QNH stronger budget discipline, procurement transparency, financial visibility, and audit-ready decision evidence.